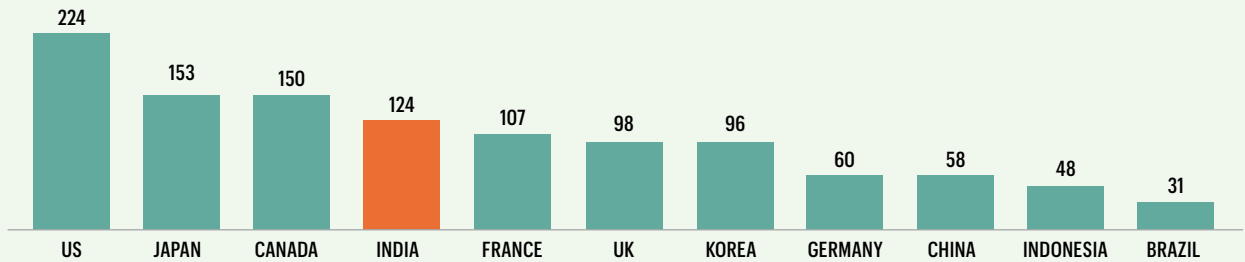


THE WARNING SIGNS

- ▶ The market capitalisation-to-GDP ratio is 124% of FY25E GDP, above the long-term average of 85%
- ▶ Over the last 12 months, global market cap rose 8.9% whereas India's market cap declined 1%

MARKET CAP-TO-GDP (%)

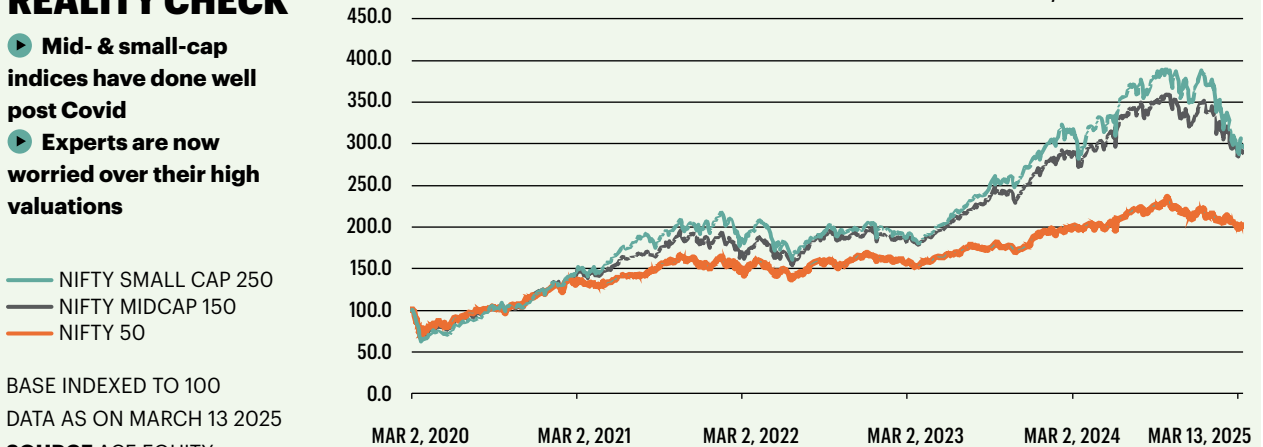


SOURCE: MOTILAL OSWAL REPORT

REALITY CHECK

- ▶ Mid- & small-cap indices have done well post Covid
- ▶ Experts are now worried over their high valuations

LARGE CAPS V/S SMALL AND MID CAPS



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WILL THE SIP STORY CONTINUE?

With market volatility shaking investor confidence, the crucial question is: Is this a temporary shakeout, or are we witnessing a deeper shift in investor behaviour? Retail investors have historically been lured by extraordinary returns by mutual funds in the past. But with markets coming off highs, their confidence is being tested. A key factor influencing sentiment is the sharp drop in equity returns compared to safer alternatives like fixed deposits. Consider this: While the Nifty 50 has delivered just 1.8% over the past year, mid-cap and small-cap indices have returned only 4.6% and 5.6%, respectively, as on March 13, 2025.

In spite of this, many experts argue that downturns

should be seen as opportunities rather than setbacks. "From a fundamental perspective, rupee cost averaging plays a key role in SIP investing. Market downturns provide opportunities for long-term investors," says Swarup Mohanty, CEO, Mirae Asset Mutual Fund. "Ask fund managers, and they'll tell you their goal is to buy quality businesses at good prices. Right now, valuations are attractive for accumulation. While no one can exactly predict the upturn, the more units you accumulate before it does, the greater the potential wealth creation," says Mohanty.

Does that mean investors should continue their SIPs even in small and mid-cap funds given the extreme volatility in these segments? "If you're thinking about stop-